
Long Blue Bird Corporation

Nasdaq: BLBD | Tony Wang, Nico Lupin, & Alp Kabatas



Investment Thesis Overview



Durable Pricing Power in a Rational Triopoly Offers Significant Upside

- Blue Bird Corporation is the only pure-play school bus manufacturer in North America
- BLBD trades at a 3-turn discount to peers due to fears of being a “Trump Loser”, margin pressures and headline risk from electric bus (ESB) funding rolloff**—SI is elevated at ~15% + lots of short activity
- Our diligence* reveals that BLBD margins are durable; ESB rolloff is misunderstood from a margin standpoint; ESB rolloff creates opportunity for Propane/Gas Share gains



Type D Blue Bird All-American RE

Nasdaq: BLBD	000s (USD)
Price (as of 09/28/2025)	\$57.95
Diluted Shares Outstanding	32,581
Market Cap	\$1,888,069
(-) Cash	173,066
(+) Debt	86,493
(+) Preferred & Other	-
Enterprise Value	\$1,801,496

Key Financials & Multiples (FY25e)	
EV / Sales	1.2x
EV / EBITDA	8.7x
EV / EBIT	10.4x
FCF Yield	6.5%
EBITDA Margin	14%
YoY Revenue Growth	9%

*Proprietary calls with sellside, dealers & competitor executives; 20+ Proprietary channel-checks; detailed review of contract/adoption data

Company Overview



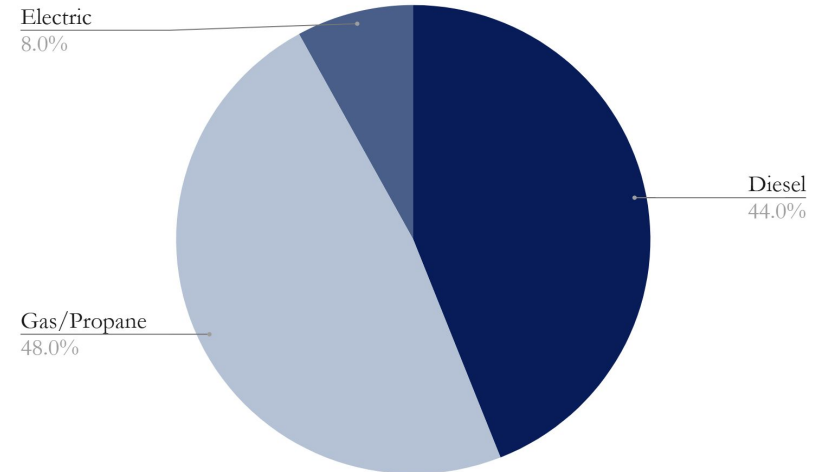
Company History

- Founded in the 1930s, Blue Bird is a pure-play school bus OEM that produces busses across **diesel, gas/propane and electric (ESB)** fuel types
- BLBD was acquired by Cerberus Capital in 2006 following a bankruptcy – Cerberus still has a substantial stake in the company
- ~90% of revenue comes from the sale of school busses, with the remaining 10% being parts sales
- Gas/Propane represent the largest % of bus sales by count, followed closely by Diesel and ESBs
- 10,000 buses are sold annually (~30% of new school

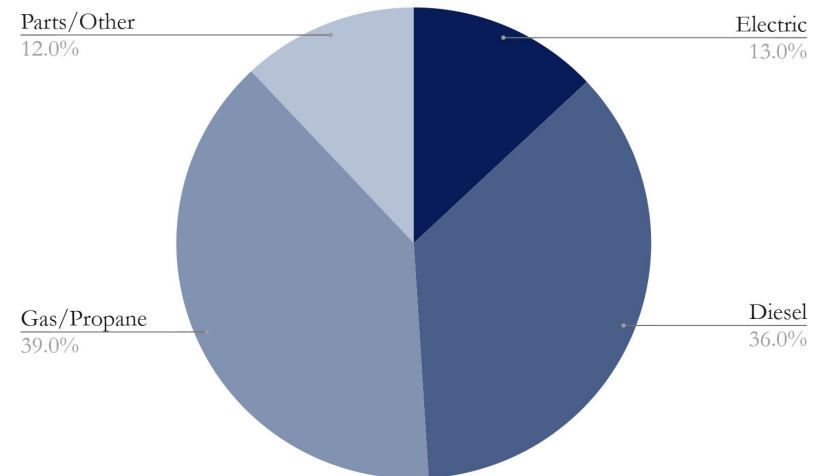


Segment Breakdown

LTM Bus Volumes by Number



LTM Bus Sales by \$

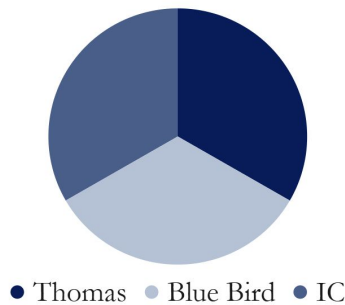


Industry Overview (1/2)



A National Oligopoly ...

- Three main players: Blue Bird, Thomas (Daimler) and IC (International Motors)
- Overall market share is split evenly between the three with varied market shares across products
School Bus OEMs



... with Favorable Dynamics...

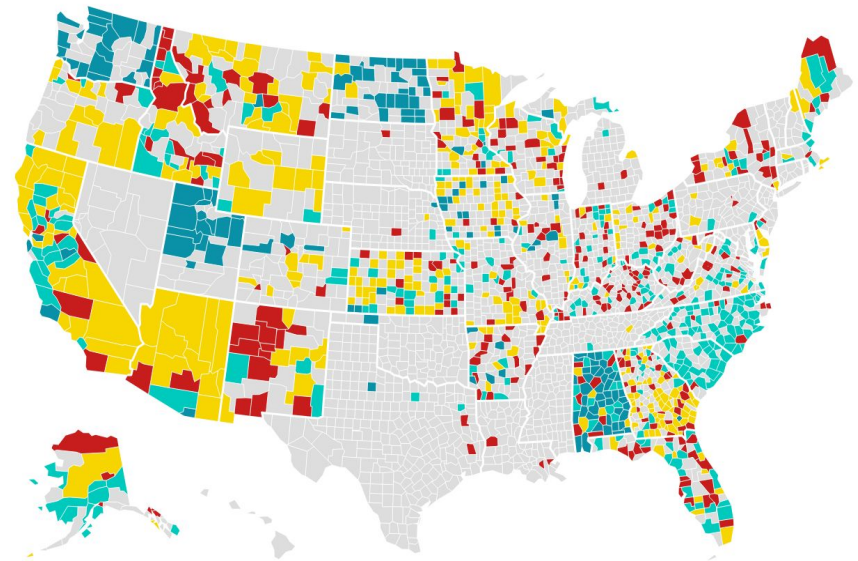
- **High Barriers to Entry** — complex (often statutory) customer requirements and existing dealer/service networks
- **Demand Tailwinds** — rising number of school age children and aging fleets
- **Clear Funding Sources** — purchases funded by property taxes and federal/state grants

... and Regional Monopolies

- Our research indicates that the vast majority of distributors carry one brand of busses
- Likewise, school districts prefer maintaining a common fleet for ease of service and repair
- Both of these dynamics have led to the creation of regional monopolies — individual counties

Type C/D School Bus Market Share Leader by County 2000-2022

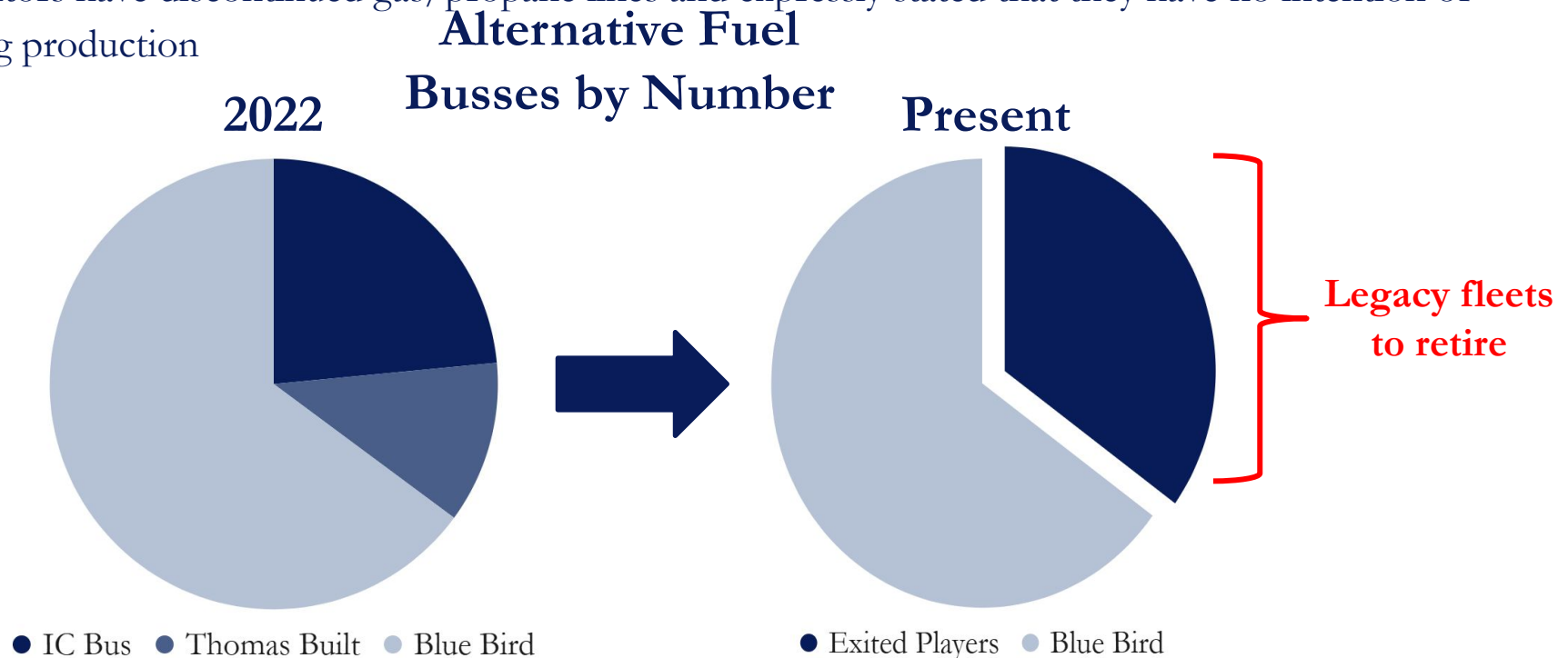
Blue Bird IC Bus Other Thomas Built



Map: Third Floor Capital • Source: World Resources Initiative • Created with Datawrapper

Market Share by Bus Type

- **Diesel** — Closest segment to a real oligopoly. Thomas, IC, and Blue Bird all have relatively similar market shares. Regional competition driven largely by distributor relationships and service network
- **Electric** — Heavily dominated by Blue Bird due to technical expertise and first-mover advantage
- **Alternative Fuels (Gas/Propane)** — Propane completely monopolized by Blue Bird through an exclusive supply agreement with Ford Roush (manufacturer of propane engines) through 2031. Competitors have discontinued gas/propane lines and expressly stated that they have no intention of resuming production

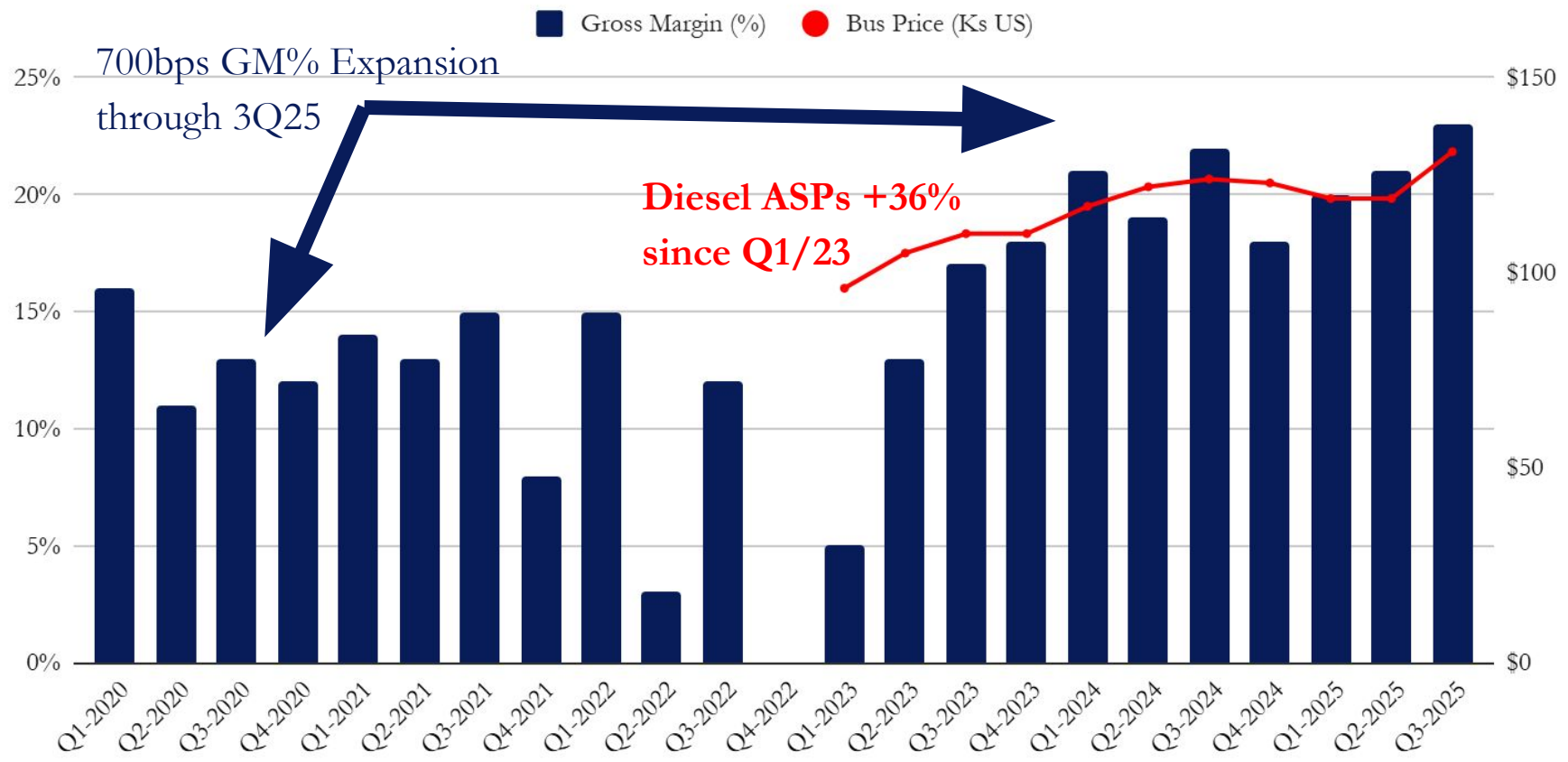


The Investment Setup (1/3)



As it turns out, School Bus Manufacturers have Latent Pricing Power

- BLBD, Thomas, and IC historically compete intensely on price; the price war and input-cost inflation **destroyed industry margins/profits in FY21-FY22**—BLBD GMs compressed to 0%
- The manufacturers rationalized and increased prices; “[the OEMs] are telling folks they’re just being as rational as they can be... **most of the incremental margin is price in excess of cost.**” (*Sellside Call*)



BLUE BIRD®

- Now, BLBD is a battleground name with a consensus short thesis: EVs and price-taking drove margins, neither are durable—EVs due to Trump—so margins should compress to pre-COVID levels
- **“Back in July, banks put out Trump Loser Portfolios, and Blue Bird made the list.”** (*Sellside call*)
- **“With subsidy-driven volumes declining, we see a clear path to a structurally-lower earnings base more in-line with historical, pre-COVID levels.”** (*Value Investors Club*)



The Investment Setup (3/3)



... Creating an Incredible Investment Opportunity

- Despite revenues/margins being stable in FQ2-3/25 and shares reacting positively, BLBD trades at a **3-turn EBITDA discount below peers**
- “People are stuck in their shorts; [BLBD] is still fighting the [margin] narrative.” (*Sellside Call*)



What Shorts Believe:

- School bus pricing has **gone too far**, and competitive pressure from Thomas/IC will **force bus prices down**
- Subsidy-driven ESB sales no longer possible under the current administration, killing a **higher-margin revenue stream**

Together: price compression, ESB collapse, margins collapse to pre-COVID levels.

What We Believe:

- Bus prices are protected, competitors have become rational, and **prices will only increase moving forward**
- ESB sales continue under state funding regimes and are **NOT a high-margin product line**
- ESB funding rolloff supports a shift to propane, **creating share/price gains**

Our blended valuation implies a share price of \$84.98, = 48% upside.



Type A Micro Bird

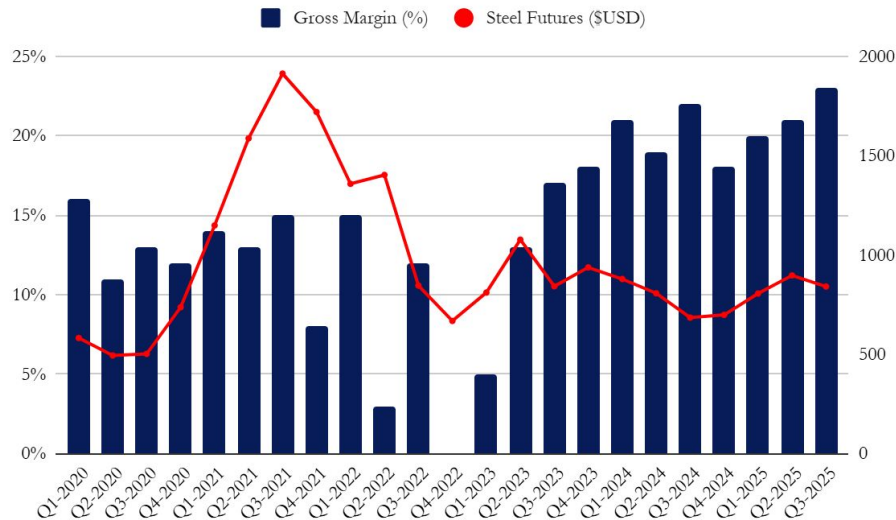
I. Durable margins and structural pricing power

Thesis 1: Structural Pricing Power (1/2)



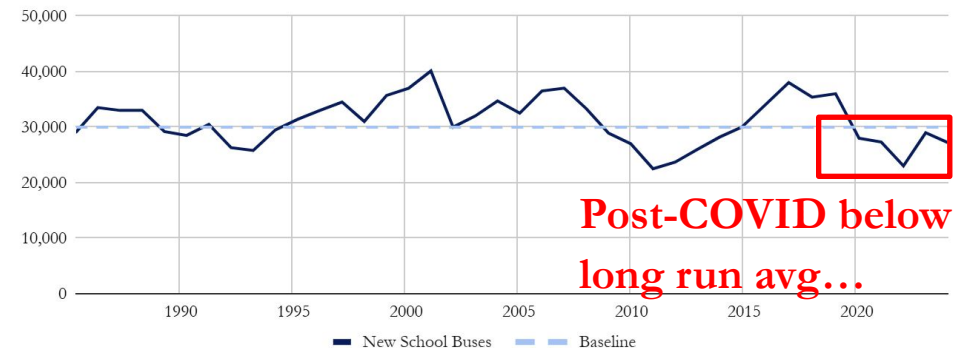
Bus OEMs have become Rational...

- OEMs were burned by steel & labor cost inflation in '22, and started repricing aggressively



... In a Pressured Demand Backdrop.

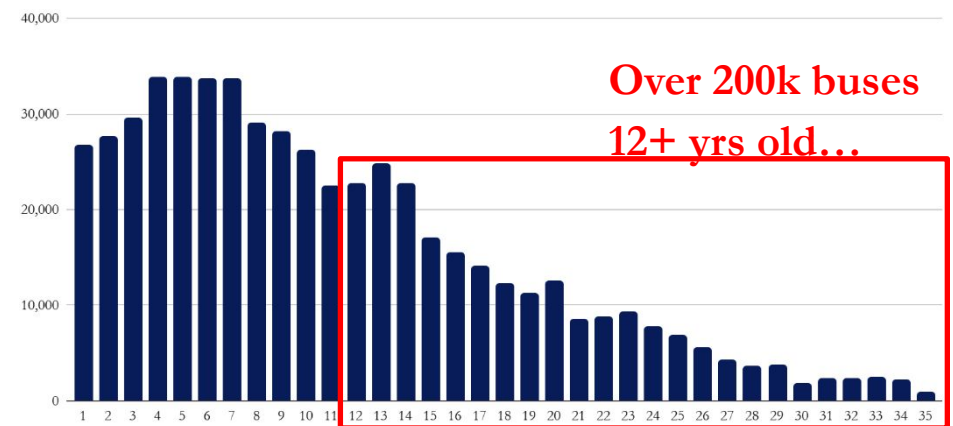
- School districts replace school buses on an **8–13-year replacement cycle** as mandated by state-level regulations
- COVID buying pullback has deferred the replacement cycle, replacements are ramping and **over 200k buses are 12+ years in age**



Post-COVID below
long run avg...

... So BLBD is now price-competitive...

- “Blue Bird used to be the most expensive player in diesel by a substantial margin... then, **Thomas and IC priced up a ton**, and now they’re all in-line.” (*Bluebird former*)
- “We didn’t buy any Blue Bird in ‘20 as their prices were higher... **I was surprised; Blue Bird came lower this time.**” (*Austin ISD*)



Over 200k buses
12+ yrs old...

Source: LSEG (Steel Futures), S&P Global Mobility & IHS Polk Vehicle Registration Data

Thesis 1: Durable Pricing Power (2/2)



School Districts are Captive Customers...

- “We are a captive audience, basically because, what other option do you have?...we’re legally required to do it.” (*Frisco ISD, TX*)
- “The manufacturers can do whatever they want because they know that the districts HAVE to get their kids to school.” (*Mayfield ISD, OH*)
- “Obviously, it’s illegal to get in a room and talk about it, but...if you were the CEO... you sit down and go, ‘hey guys, quit undercutting each other. Let’s all make money.’ ” (*Gilbert Public Schools, AZ*)

- “I don’t see that we would not pay it at \$220k,

... and OEMs will take advantage...

we’re legally required to do it.” (*Frisco ISD, TX*)

- “We have been on a pricing strategy that has a cadence of every 6 months... **the level of price increase was roughly 2% each time**, give or take.” (*Blue Bird CFO, FQ3/2025 Call*)

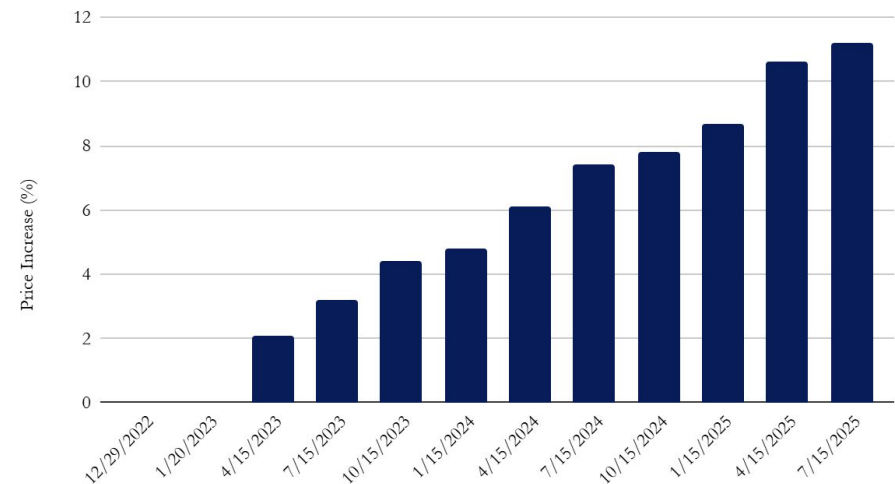
... with more escalators on the Horizon...

- Cummins—the exclusive diesel engine OEM—is producing a new **emissions-compliant diesel engine** in 2027 costing \$30k more
- Districts are preparing for the price increase: “I order only Cummins engines... the **school districts are talking about it now...** if they

... and contractual protections.

going to be ready for it?” (*Austin ISD, TX*)

- States incl. NY, have contractual PPI-tied price increases (~11% cumulative since Q1/23)





Type C Blue Bird Vision

II. EV Headwinds are Overstated

Thesis 2: EV Funding Overstated Headwinds (1/4) BLUE BIRD®

Bluebird is the undisputed Electric School Bus (ESB) Leader in North America

- Electric School Buses are just **3%** of 500k+ school buses in operation
- **Regulatory moves** in numerous states provide a significant medium-term share driver

100% of new buses must be zero-emission by...

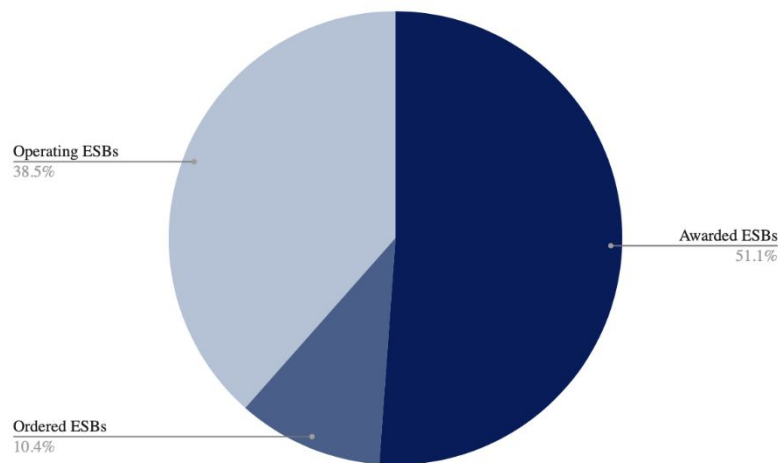
- New York: 2027
- Massachusetts: 2030
- New Jersey: 2032
- California: 2035

25%+ of new buses must be zero-emission by...

- Maryland: 2025
- Delaware: 2029

Blue Bird's Competitive Positioning

- More than 2,500 ESBs in operation today as of August 7th (Press Release)
- First-mover in the Electric School Bus market with 40%+ market share
- 1,200 EVs booked or in backlog
- 900 EVs guided for this year, 230 projected for Q4
- Channel checks + **public forum YT videos** state Bluebird as superior product:



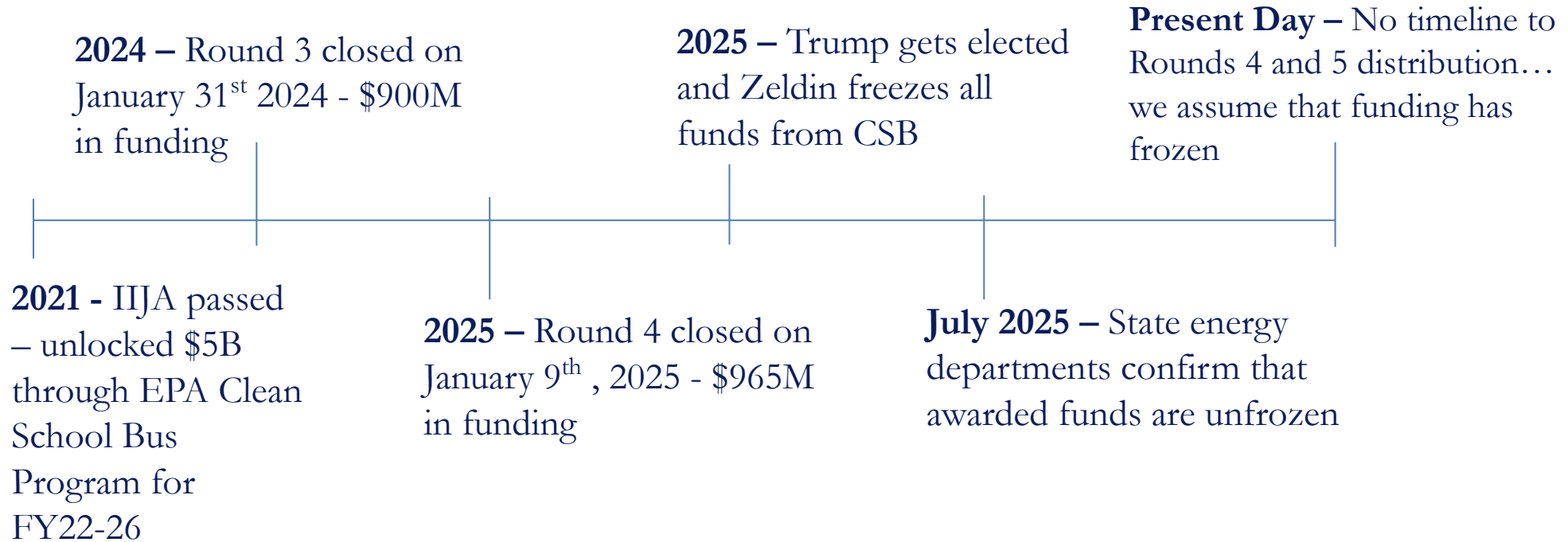
Evidence:

“We’re hitting expectations from the [OEM] with our [2022 Gen 1 Blue Bird Vision]” (*Lake Shore, NY*)

“the best quality of all of it, and they have the best RFP, like, their proposal is great.” (*Portland SD, OR, re: BLBD ESBs*)

Source: WRI ESB Database

ESB Funding Timeline + Statistics



We are not being dismissive of the EV federal funding fall-off

- We are not being dismissive of Zeldin's EPA hostility
- The CSB program has funded Rounds 1-3 which amounts to 906 separate awards, 1,170 school districts (~11%), \$2.649B in awarded funds, 8,342 buses to be replaced—**average subsidies were \$250-350k vs ESB ASP of \$450-500k**
- We discount EV deliveries by 60% in FY26-29 without recovering to account for the federal funding rolloff
- Without the subsidy, new school districts have no incentive for ESBs...those with infrastructure however still have a mandate – our channel checks support this:
- “The districts that have taken the plunge **might just keep doing it, given the money they've spent already.**”
(Mayfield, Ohio)
- Like now we've made the **commitment to go electric, unless it's totally falling apart. We want to stick with that.**” *(Salt Lake City, UT)*
- “We have a climate policy that is in place that tells me **I need to be working on procurement electric vehicles only... it says zero emissions.**” *(Portland, OR)*

Source: World Resources Institute (for both)

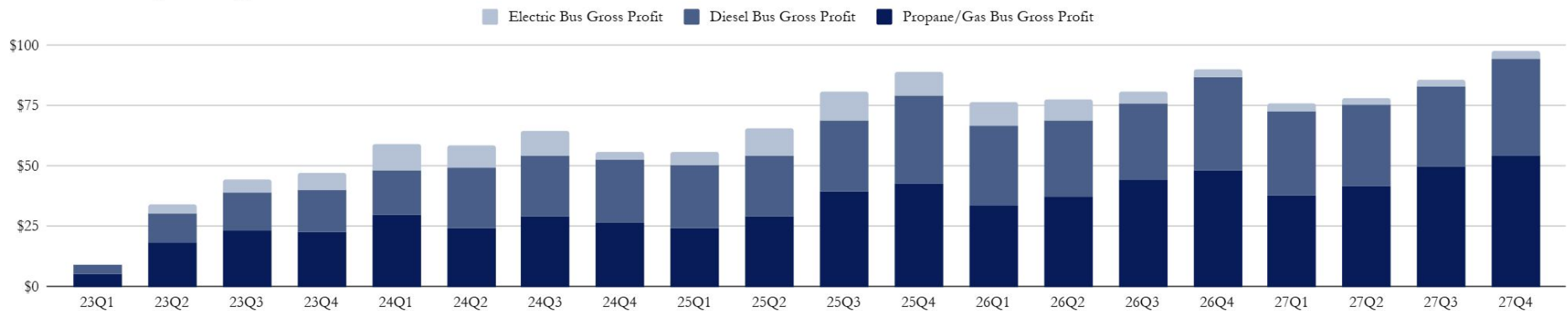
Thesis 2: EV Funding Overstated Headwinds (4/4)



EV volume fall-off will NOT impact margins... contrary to what bears think

“I know for a fact that Bluebird, regardless of what they claim, **they’re closer to like 5% [gross margins] and may even be losing money on that product**, even though they claim, they’re not really okay, and the same goes for Thomas, and the same goes for IC Bus”
- *Senior Executive at a major pure-play ESB competitor*

Gross Profit by Bus Type



The Bear Case: Shorts believe that the loss high-ASP EV sales (at 20% margins) will cause overall margins to collapse to pre-COVID levels as the mix shifts back to diesel/propane/gas

The Reality: Even if volumes drop 60% in FY26-27, ESB contribution to Gross Profit falls from LDD to MSD but **volumes don't change**. The replacement cycle will continue and other alternative fuel buses will fill the gap.

And what OEM is by far the leader in alternative fuels...



Type D Blue Bird All-American RE

III. Gas/Propane Monopoly Offers Significant/Overlooked Upside

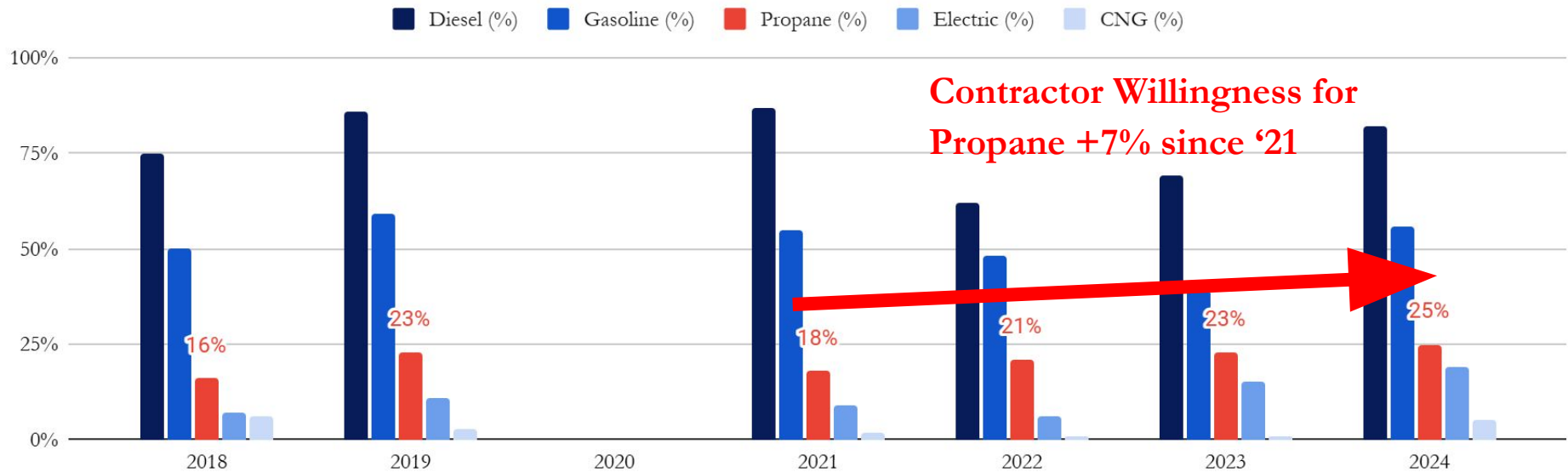
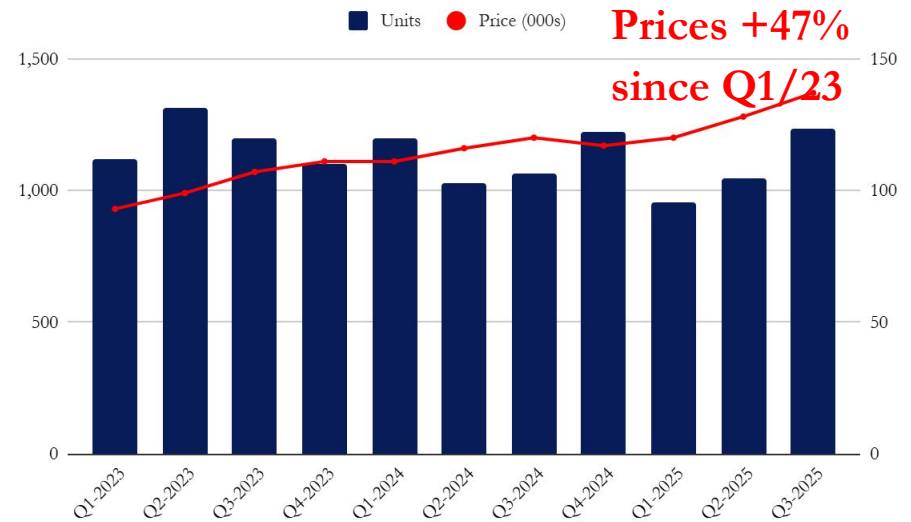
Thesis 3: Propane/Gas Adoption (1/2)



Propane/Gas are Great Products...

- “I’m very big on propane... you can green your fleet a whole lot faster, **make your air quality better**... and save a ton... we’re saving 30–55¢ /mile operating them.” (*Snohomish SD, WA*)
- Propane and gas are price-competitive vs. diesel, and this **cost advantage will grow as the new Cummins engine drives diesel bus costs up**
- “I think gas and propane will only grow further... especially as emissions requirements make diesel more expensive.” (*BLBD Dealer*)

... with significant volume/price levers



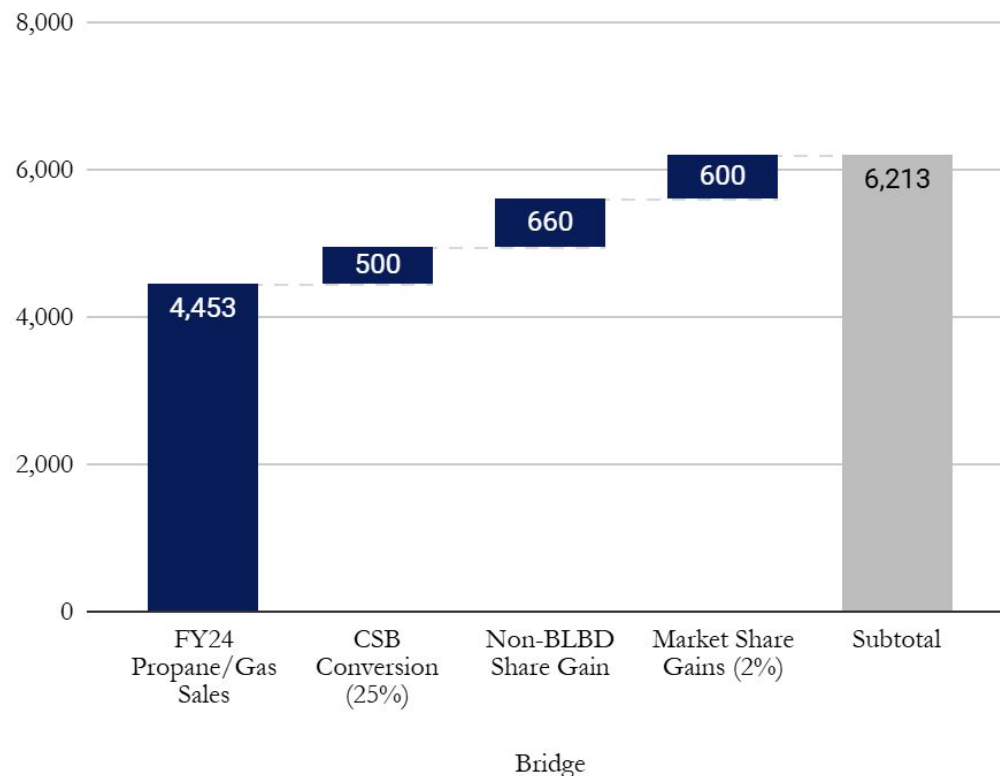
Source: LPG Survey for Transportation Contractors (2024) - % of transportation contractors planning to buy buses by fuel type

Thesis 3: Propane/Gas Adoption (2/2)



CSB Funding Rolloff + Legacy Propane = Two Significant Upside Drivers

- ESB adopters generally considered propane given the cost/environmental advantages, and CSB funding rolloff allows BLBD to **capture share** from non-BLBD ESB manufacturers—BLBD is ~40% of the ESB market but ~100% of the propane market
- C. 15-25% of 22,000 active propane buses (=4,400 mid.) are legacy Thomas/IC models manufactured 2013-2020, providing a robust annual replacement runway **in addition to share gains elsewhere**



Bridging to FY29e Propane/Gas Sales

- With ESB sales at ~2,000/y, c. **25% conversion to propane**—e.g. former Lion, IC or Greenpower buyers—equates to ~500 annual additional units
- Assuming **~15% annual replacement** of legacy Thomas/IC models by FY29 means ~660 annual additional units
- Every **1% market share shift** to gas/propane = 300 additional units

Our assumptions are fairly conservative, and there is **easily a pathway to 7,000+ units** via additional share shifts from ESBs and w/ further strength in the buyer pool

Margin of Safety + Management



Depressed Valuation + Bearish Sentiment = Wide Margin of Safety

- Blue Bird trades at a relatively large discount to peers (8x NTM EBITDA vs 11.5x for peers)
- This tells us that the market still views Blue Bird as an over-earner which is due for margin compression and revenue erosion as federal funding dries up and the school bus market normalizes
- Although the stock has run up considerably LTM, Blue Bird's multiples have barely expanded, with earnings revisions driving the vast majority of stock returns
- Therefore, we believe we have a very wide margin of safety despite the >75% run up LTM

Comps Table	Ticker	Share Price	Mkt Cap	EV (Ms)	EV/EBIT	EV/Sales	Beta	D/E	UL Beta
Aebi Schmidt Holding	AEBI	\$ 12.71	982	1,390	8.20	0.72	1.23	0.41	0.93
REV Group	REVG	\$ 57.01	2,780	1,440	10.50	1.08	1.18	0.03	1.15
Paccar Inc.	PCAR	\$ 100.50	52,770	60,605	13.40	2.01	0.96	0.30	0.77
Douglas Dynamics Inc.	PLOW	\$ 31.50	725	687	8.87	1.34	1.32	0.20	1.14
Federal Signal Corp	FSS	\$ 122.24	7,430	5,778	16.70	3.34	1.29	0.03	1.26
Mean									1.05
Blue Bird Corporation	BLBD	\$ 57.95	1,840	1,539	8.00	1.15	1.09	0.05	1.05

Capital Returns Policy:

- Blue Bird has a \$100mm buy-back program in place, representing ~6% of current market cap
- Although our thesis does not rely on buybacks for value realization, we believe this indicates that management is shareholder friendly and open to returning excess value back to share holders
- Any incremental expansion of buy back capacity due to the durability of earnings is a free call option

Catalysts, Trade Considerations



Key Catalysts

- **Margins stay stable or expand** across the next 6 earnings calls (through CY26)
- **Electric bus volume loss** does not materially impact margins on 2H26 earnings calls, closing the ESB overhang
- **Propane/gas volume gains** in coming quarters drives incremental gross margin & EBITDA

Risks & Mitigants

- **Cessation of state-level ESB incentives** would further impact ESB sales but margin impacts are likely to be muted
- **Significant price cuts from Thomas and IC** would completely contradict current behavior but pressure margins
- **Input cost inflation** is partially protected by price escalators but could pressure margins

Holding Period & Strategy Considerations

- We would hold Blue Bird through the next 6-8 FQs (up to 2 years) until our base-case price target has been realized—**two year holding period = ~22% base-case IRR or 54% bull-case IRR**—we think street will agree with us once BLBD continues reporting strong sales/margins post-CSB-rolloff
- Blue Bird is **not significantly exposed** to macroeconomic fluctuations due to structurally-locked customer behavior, making macro hedges unnecessary on a revenue front
- We believe that **input-cost inflation** is adequately captured in our modeling and additional steel / cost hedges are unnecessary

Key Assumptions

Assumptions	FY2025				FY2026				FY2027				FY28	FY29	FY30	FY31
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4				
Margin Gap																
Bull	-6%	-6%	-6%													
Base	0%	0%	0%													
Bear	3%	3%	3%													
Selected: Base	0%	0%	0%													
ESB Compression QOQ																
Bull					0%	-5%	-26%	-26%	-5%	0%	0%	4%	4%	8%	8%	8%
Base					0%	-5%	-34%	-34%	-5%	0%	0%	0%	2%	4%	6%	6%
Bear					0%	-5%	-42%	-42%	-5%	0%	0%	0%	-4%	-2%	0%	2%
Selected: Base					0%	-5%	-34%	-34%	-5%	0%	0%	0%	2%	4%	6%	6%
Propane & Gas Bus Sales Growth																
Bull				10%	10%	10%	10%	10%	10%	10%	10%	10%	9%	8%	7%	6%
Base				8%	8%	8%	8%	8%	8%	8%	8%	8%	7%	6%	5%	5%
Bear				4%	4%	4%	4%	4%	4%	4%	4%	4%	4%	4%	4%	4%
Selected: Base				8%	8%	8%	8%	8%	8%	8%	8%	8%	7%	6%	5%	5%
Diesel Bus Growth																
Bull				4%	4%	4%	4%	4%	3%	3%	3%	3%	2%	1%	0%	0%
Base				2%	2%	2%	2%	2%	1%	1%	1%	1%	0%	0%	-1%	-1%
Bear				0%	0%	0%	0%	0%	0%	0%	0%	0%	-1%	-1%	-2%	-2%
Selected: Base				2%	2%	2%	2%	2%	1%	1%	1%	1%	0%	0%	-1%	-1%
Revenue Growth - Price																
Bull				5%	5%	5%	5%	5%	5%	5%	5%	5%	5%	5%	5%	5%
Base				4%	4%	4%	4%	4%	4%	4%	4%	4%	4%	4%	4%	4%
Bear				3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%
Selected: Base				4%	4%	4%	4%	4%	4%	4%	4%	4%	4%	4%	4%	4%

- Assumes 60% base case ESB volume compression FY27 vs FY25 from CSB funding rolloff
- 8% volume ramp to Propane/Gas through FY27, = 6,300 units/y by 2030—fairly conservative
- 4% annual price growth, inline with current state-level price escalators

Valuation (2/5)



Revenue Build

Revenue Build	FY23	FY24	FY25	FY26	FY27	FY28	FY29	FY30	FY31
1. Bus Count by Type									
EV	546	704	900	694	365	372	387	410	435
Gas/Propane	4,733	4,516	4,551	4,915	5,308	5,680	6,021	6,322	6,638
Diesel	3,233	3,780	4,176	4,259	4,302	4,302	4,302	4,259	4,216
Total	8,512	9,000	9,627	9,868	9,975	10,354	10,710	10,991	11,289
2. Revenue by Type (Ms)									
Electric Buses	163.8	202.5	220.8	162.2	83.9	85.6	89.0	94.4	100.0
<i>Per Bus (thousands)</i>			\$ 245	\$ 234	\$ 230	\$ 230	\$ 230	\$ 230	\$ 230
Gas/Propane Buses	485.1	523.6	600.1	699.1	785.2	885.5	976.2	1,066.0	1,164.0
<i>Per Bus (thousands)</i>			\$ 132	\$ 142	\$ 148	\$ 156	\$ 162	\$ 169	\$ 175
Diesel Buses	342.0	461.2	524.2	577.0	606.1	639.3	664.9	684.6	704.8
<i>Per Bus (thousands)</i>			\$ 126	\$ 135	\$ 141	\$ 149	\$ 155	\$ 161	\$ 167
Segments As Reported									
Diesel buses revenue, mm	342	461	524	577	606	639	665	685	705
Alternative fuel buses revenue, mm	649	726	821	861	869	971	1,065	1,160	1,264
Other revenue, mm	46	58	61	63	65	67	69	71	73
Parts revenue, mm	98	104	105	108	112	115	118	122	126
Total Revenue	1,135	1,350	1,511	1,609	1,651	1,792	1,917	2,037	2,167
<i>YoY Growth (%)</i>	41%	19%	12%	6%	3%	9%	7%	6%	6%

Valuation (3/5)



IS/CFS Build (Base Case)

IS Summary	FY22	FY23	FY24	FY25	4Q25e	FY26e	FY27e	FY28e	FY29e	FY30e
Revenues	801	1,133	1,347	1,509	438	1,609	1,651	1,792	1,917	2,037
COGs, D&A Adj.	(750)	(978)	(1,076)	(1,183)	(341)	(1,254)	(1,286)	(1,395)	(1,492)	(1,585)
Gross Profit	51	155	271	326	98	356	366	397	425	452
<i>Margin (%)</i>	<i>6%</i>	<i>14%</i>	<i>20%</i>	<i>22%</i>	<i>22%</i>	<i>22%</i>	<i>22%</i>	<i>22%</i>	<i>22%</i>	<i>22%</i>
SG&A (SBC Adj.)	(74)	(83)	(108)	(117)	(30)	(130)	(136)	(143)	(150)	(158)
Adj. EBITDA	(23)	72	163	209	68	236	261	282	302	323
D&A	(14)	(16)	(15)	(16)	(4)	(18)	(19)	(20)	(21)	(22)
SBC	(4)	(4)	(9)	(16)	(3)	(12)	(12)	(13)	(14)	(14)
EBIT	(41)	52	139	178	61	206	230	250	268	287
NOPAT @ 25% TR					46	155	173	187	201	216

CFS Summary	FY22	FY23	FY24	FY25	4Q25e	FY26e	FY27e	FY28e	FY29e	FY30e
NOPAT					46	155	173	187	201	216
+ D&A					4	16	18	19	20	21
+ NWC					(19)	(0)	(3)	2	(3)	(3)
- CapEx					(6)	(24)	(24)	(24)	(24)	(25)
UFCF					24	146	163	184	193	208

Valuation (4/5)



DCF / Multiples Based Valuation

DCF Base Case (60%)		DCF Bull Case (20%)		DCF Bear Case (20%)	
<i>Base Case (9x EBITDA)</i>	1,832	<i>TV (10x EBITDA)</i>	3,265	<i>TV (8x EBITDA)</i>	822
<i>Total PV</i>	2,523	<i>Total PV</i>	4,287	<i>Total PV</i>	1,227
<i>- Debt</i>	91	<i>- Debt</i>	91	<i>- Debt</i>	91
<i>+ Cash</i>	173	<i>+ Cash</i>	173	<i>+ Cash</i>	173
<i>Implied Market Cap</i>	2,605	<i>Implied Market Cap</i>	4,369	<i>Implied Market Cap</i>	1,309
<i>Implied SP \$</i>	\$ 82.15	<i>Implied SP \$</i>	\$ 137.78	<i>Implied SP \$</i>	\$ 41.27
<i>Upside / Downside (%)</i>	42%	<i>Upside / Downside (%)</i>	138%	<i>Upside / Downside (%)</i>	-29%
Blended DCF Valuation				\$ 85.10	47%
Multiples Base Case (60%)		Multiples Bull Case (20%)		Multiples Bear Case (20%)	
<i>11x FY27e EBITDA</i>	2,597	<i>13x FY27e EBITDA</i>	3,784	<i>8x FY27e EBITDA</i>	1,471
<i>Implied Market Cap</i>	2,679	<i>Implied Market Cap</i>	3,865	<i>Implied Market Cap</i>	1,553
<i>Implied SP \$</i>	\$ 84.49	<i>Implied SP \$</i>	\$ 121.91	<i>Implied SP \$</i>	\$ 48.98
<i>Upside / Downside (%)</i>	47%	<i>Upside / Downside (%)</i>	112%	<i>Upside / Downside (%)</i>	-15%
Blended Multiples Valuation				\$ 84.87	48%
Blended Valuation				\$ 84.98	48%

Base Case Sensitivities

Sensitivity: Terminal EV/EBITDA Multiple (Base Case)									
WACC	8.0	8.5	9.0	9.5	10.0	10.5	11.0	11.5	12.0
9%	22%	27%	32%	37%	42%	47%	52%	57%	62%
9.50%	19%	24%	29%	34%	39%	44%	49%	53%	58%
10%	17%	22%	27%	31%	36%	41%	46%	50%	55%
10.50%	15%	19%	24%	29%	33%	38%	43%	47%	52%
11%	13%	17%	22%	26%	31%	35%	40%	44%	49%
11.50%	10%	15%	19%	24%	28%	32%	37%	41%	46%
12%	8%	13%	17%	21%	26%	30%	34%	38%	43%
12.50%	6%	10%	15%	19%	23%	27%	31%	36%	40%
13%	4%	8%	12%	17%	21%	25%	29%	33%	37%

How do We Get Paid?

- Blue Bird is a high-quality business in an oligopolistic market, yet it trades at steep discount to peers
- Shorts are betting heavily against the stock, **convinced that record margins are temporary** and that the end of federal EV funding is a death blow to **a key profit driver**
- We believe margins are durable and ESBs is not the profit driver that shorts make it out to be
- We get paid over the next 4-6 quarters as pricing power continues to be structural and the volume

Variance vs Sellside	FY26e	FY27e	Q4/25e	Q1/26e	Q2/26e	Q3/26e	Q4/26e	Q1/27e	Q2/27e	Q3/27e	Q4/27e
Revenue											
TFC	1,609.4	1,651.5	438.5	383.5	390.1	397.1	438.7	375.9	387.3	415.7	472.6
Consensus	1,528.3	1,610.8	380.0	336.6	372.0	409.0	410.7	336.3	400.1	455.7	418.7
DELTA REVENUES	81.1	40.7	58.5	46.9	18.1	(11.9)	28.0	39.6	(12.9)	(40.1)	54.0
%											
EBITDA											
TFC	232.3	236.1	67.6	54.5	55.3	56.7	65.8	51.3	53.4	59.5	71.9
Consensus	209.7	223.0	52.1	40.7	48.6	60.6	59.7	37.2	53.5	70.7	61.6
DELTA EBITDA	22.6	13.1	15.5	13.8	6.7	(3.9)	6.0	14.1	(0.0)	(11.2)	10.3
EBIT											
TFC	204.6	206.2	60.7	47.6	48.4	49.8	58.8	43.8	46.0	52.1	64.4
Consensus	182.0	193.1	45.1	33.8	41.7	53.7	52.8	29.7	46.0	63.3	54.1
DELTA EBIT	22.6	13.1	15.5	13.8	6.7	(3.9)	6.0	14.1	(0.0)	(11.2)	10.3
Net Income											
TFC	152.7	153.9	45.3	35.5	36.1	37.2	43.9	32.7	34.3	38.9	48.1
Consensus	133.3	144.4	32.7	24.4	30.2	39.1	39.6	22.5	34.3	47.0	40.6
DELTA NI	19.4	9.5	12.6	11.1	5.9	(2.0)	4.4	10.2	(0.1)	(8.1)	7.5

This is an opportunity to buy a toll road for student transportation for the price of a dirt path.

Appendix I. Channel Check Data



Pricing

- “Diesel prices—2020 Thomas C2 cost them \$132k — the only thing he changed this year is to upgrade from 210 to 250hp, from 5 gear transmission to 6 gear transmission — price increased from \$132k to \$175k. Salesman told him that ‘they had a month before the bus prices were going up another 30%.’ ” (*Briarwood Christian School, AL*)
- “When I was selling busses, you could buy a 84 passenger transit bus for \$120-130k and now the same bus is \$232–240k. And so in six years, they’ve gone up over \$100 grand. Pricing is just... step up, step up, step up. Like it’s probably increased like 30% in the last few years. I’m guessing maybe more. In some places.” (*Gilbert Public Schools, AZ*)
- “The whole trick... is make those bond dollars stretch as far as I can... if I don’t replace eight a year, I’ll never hit that 20-year average.” (*Gilbert Public Schools, AZ*)
- “Our understanding is also from the bus manufacturers... the cost is going to even increase more because of different tariffs coming through the federal government.” (*Austin ISD, TX*)
- “It definitely changes the procurement process... now it’s shifted completely to price. Whoever’s the lowest price that gives you the same product... if I can save \$10,000 per bus, that’s almost the price of one more bus if I’m buying 10.” (*Canyon ISD, TX*)
- “Our first purchase was 2019–2020... a gas bus quote [special needs, small bus] was \$74,000... five years later [2024–25] our last bus quote is now \$128,000 instead of \$74,000. So in five years it went very high. Ironically, the electrics didn’t go that high... gas buses nearly doubled.” (*Portland PS, OR*)

Appendix I. Channel Check Data



Electric School Buses

- “Nothing in red states to benefit electric buses—they try very hard to prevent you from buying them. I know of two electric buses in the entire state.” (*Briarwood, AL*)
- “One of the first things I was told is ‘don’t think about buying an electric bus.’ Feedback he’s getting on ESBs is ‘not great.’ Cleveland winters are tough. They haven’t even entertained the option.” (*Mayfield ISD, OH*)
- “The electric busses are going to go into the ground... other than California, where they made it the state rule, you can’t buy anything else. We would have to spend a million dollars just on infrastructure... plus the chargers are \$50,000 a pop.” (*Gilbert PS, AZ*)
- On funding: “EPA funding hasn’t really affected Salt Lake City... we have not been awarded any EPA money... but we have stayed with other funds... Volkswagen litigation bought our first four buses, the next eight we did through DERA funding.” (*Salt Lake City SD, UT*)
- “Our long planned goal was to achieve 75% of our fleet to be fully electric... but for right now... maybe we should consider propane... like now we’ve made the commitment to go electric, unless it’s totally falling apart, we want to stick with that.” (*Salt Lake City SD, UT*)
- “We do have electric, even though we haven’t won any EPA grants. The reason for that is our local utility... Portland General Electric... they’ve been handing out money in that way, and we’ve applied for the last five years for as many as they’ll allow us to have. So I’ve received at least a bus every single year from that grant.” (*Portland Public Schools, OR*)
- “Some districts electrified their entire fleet... others got one or two buses and said they’re not really that great, not useful, they don’t work well.” (*Portland Public Schools, OR*)

Electric School Buses (Con't)

- “We have not gone forward with electrics. I think propane makes way more sense than electric right now. I know there are a few districts in Washington piloting electrics, but they’re struggling with them. We run long routes—range is an issue. Our climate isn’t friendly either.” (*Snobomish SD, WA*)
- “We do have three of them in our district right now. We do believe it’s the future... zero emission, lower maintenance—but the cost is \$400,000 versus \$150,000 for diesel... By 2028, diesel buses will be \$180,000 with new emission standards, but electric is still much higher... We were approved for 25 more EV buses under EPA grants, but we discontinued that. The grant only paid for about 50% of the bus and partial charging stations—not the construction, not the infrastructure. So we stopped.” (*Austin ISD, TX*)
- In 2017–18, we bought our first electric buses with \$700,000 in district funds and support from the local air district. We quickly realized we had no infrastructure... PG&E gave us \$2 million to install chargers... We expanded with more buses in 2020, stacking state and local grants, so those were zero net cost... Now we’re up to 12 electric buses. We’re also electrifying our white fleet. (*Pittsburg SD, CA*)
- Challenges? Infrastructure delays, utility coordination, supply chain on parts. Reliability has improved, but early models had a lot of problems... Funding is key. Without state and federal support, it’s almost impossible. Inflation Reduction Act helps a lot.” (*Pittsburg SD, CA*)

Appendix I. Channel Check Data



Propane/Gas Buses

- “A propane bus, a conventional propane Type C bus, is about \$202,000–\$206,000.” You’re getting two and a half propane buses for every electric—that’s a huge difference.” (*Snobomish SD, WA*)
- “Going propane, you can bring your fleet a whole lot faster, you can make your air quality better for your kids. You can save a ton of money operating propane buses... comparable to diesel and gasoline buses, but your NOx level is .02. You can afford to buy more... all while saving between 30 and 55 cents a mile operating these buses.” (*SD in WA*)
- “They’re actually very similar [to diesel]... for the most part, they just run, they just stay on the road. Maintenance cost is a lot lower... a lot less oil, a lot less everything. So your cost of operations is a lot smaller on propane.” (*SD, WA*)
- “If you look at alternative fuels as a group—gasoline, propane, electric—they have gained a lot and diesel continues to lose. With propane and gas, the infrastructure basically goes away... propane providers will stick a tank on your lot just so they can sell you propane... the infrastructure costs are almost nonexistent compared to EV.” (*Bluebird Dealer, Midwest*)
- “We were awarded [Volkswagen litigation funds]... if not, we were going to choose to go for propane, for outside of the field.” (*Salt Lake City SD, UT*)
- “If you wanted to replace your bus with a propane bus, they’ll do that on the same cost basis, because propane bus costs about the same [as diesel]. There might be a few \$1,000 in there... but it’s nothing like if I was to say, hey, we want to replace them with an electric bus, they’d be like, all right, well, \$300,000 out of your pocket.” (*SD, NC*)

Appendix: NY Contractor Spec Sheet



GROUP 40524-23254, SCHOOL BUSES (Statewide)

Attachment 1 - Specifications and Pricing (Revised July 15, 2025)

PC69860 JP Bus & Truck Repair LTD DBA Bird Bus Sales

LOT C (Item 3-D)

Type C, 58 Pupil Conventional Front-Engine Bus (Diesel, Minimum 58 Pupils)

PART 1: Product information for the Base Item(s) Awarded

Category	Information provided in Yellow Cells
Engine	Information identifying the engine for the fuel type offered.
NYS DOT Approval Number	The NYS DOT Approval Number for the School Bus. Only School Buses approved by NYS DOT Passenger Carrier Safety Bureau for use as 2022 and newer Models, as indicated by a NYS DOT Approval Number, shall be delivered pursuant to the Contract.
Chassis Make	The OEM company name of a Chassis.
Chassis Model	The Model name of the Chassis.
Chassis Model Code	The OEM code used to identify the subset of the Chassis Model.
Body Make	The OEM company name of a Body.
Body Model	The Model name of the Body.
Body Model Code	The OEM code used to identify the subset of the Body Model.
Pick Up Allowance	The dollar amount, per School Bus, that will be deducted from the Base Item NYS Contract Price, if the Authorized User elects to pick up the School Bus at the Contractor's location.
Delivery Time	The estimated delivery time for the School Bus, expressed in number of calendar days, required to make delivery after receipt of a final Purchase Order (After Receipt of Order ("ARO")).

PART 2: Pricing for the Base Item, Additional Body Section, and Additional Options

Category	Information provided in Yellow Cells
Base Item NYS Contract Price	The per unit NYS Contract Price (dollar amount) for the School Bus described in the Base Item Specifications. The Base Item NYS Contract Price includes any OEM fees, all customs duties and charges, all vehicle preparation and clean-up charges, NYS DOT inspection, installation charges, delivery and all other incidentals normally included with providing a School Bus, but excludes Optional Equipment, Additional Body Section(s), and Additional Options.
Additional Options NYS Discount	The minimum percentage amount that shall be deducted from the MSRP for all Additional Options purchased under the Contract for this Item.

PART 3: Base Item Specifications

Category	Specification	Information provided in Yellow Cells
General	A School Bus with a Body installed upon a cowl and Chassis constructed using a chassis with a hood and front fender assembly. All of the engine is in front of the windshield and the entrance door is behind the front wheels. This is also known as a conventional school bus. This type also includes the cutaway truck chassis or truck chassis with cab, with or without a left side door, and with a GVWR greater than 16,000 pounds.	Gross Vehicle Weight Rating (GVWR) [lbs]:
Capacity	Minimum fifty-eight (58) Pupils.	Number of rows: Number of Pupils:
Door Wheel	Dual Rear Wheel (DRW)	

Blue Bird		
Diesel	Gas	LPG
40179-47; Cummins B6.7; 6 Cyl, 6.7L, 200HP at 2,400 RPM, 520 lb. ft. torque @ 1,600 RPM.	40166-03, Ford 7.3L; 8 Cyl, 350 HP @3,900 RPM, 468 lb. ft. torque @ 3,900 RPM	40166-03, Ford 7.3L; 8 Cyl, 350 HP @3,900 RPM, 468 lb. ft. torque @ 3,900 RPM
2212-NY-59-00WC-BBB	2212-NY-59-00WC-BBB	2212-NY-59-00WC-BBB
Blue Bird	Blue Bird	Blue Bird
BBCV	BBCV	BBCV
2807	2807	2807
Blue Bird	Blue Bird	Blue Bird
Vision	Vision	Vision
2807	2807	2807
\$100.00	\$100.00	\$100.00
210-270	210-270	210-270

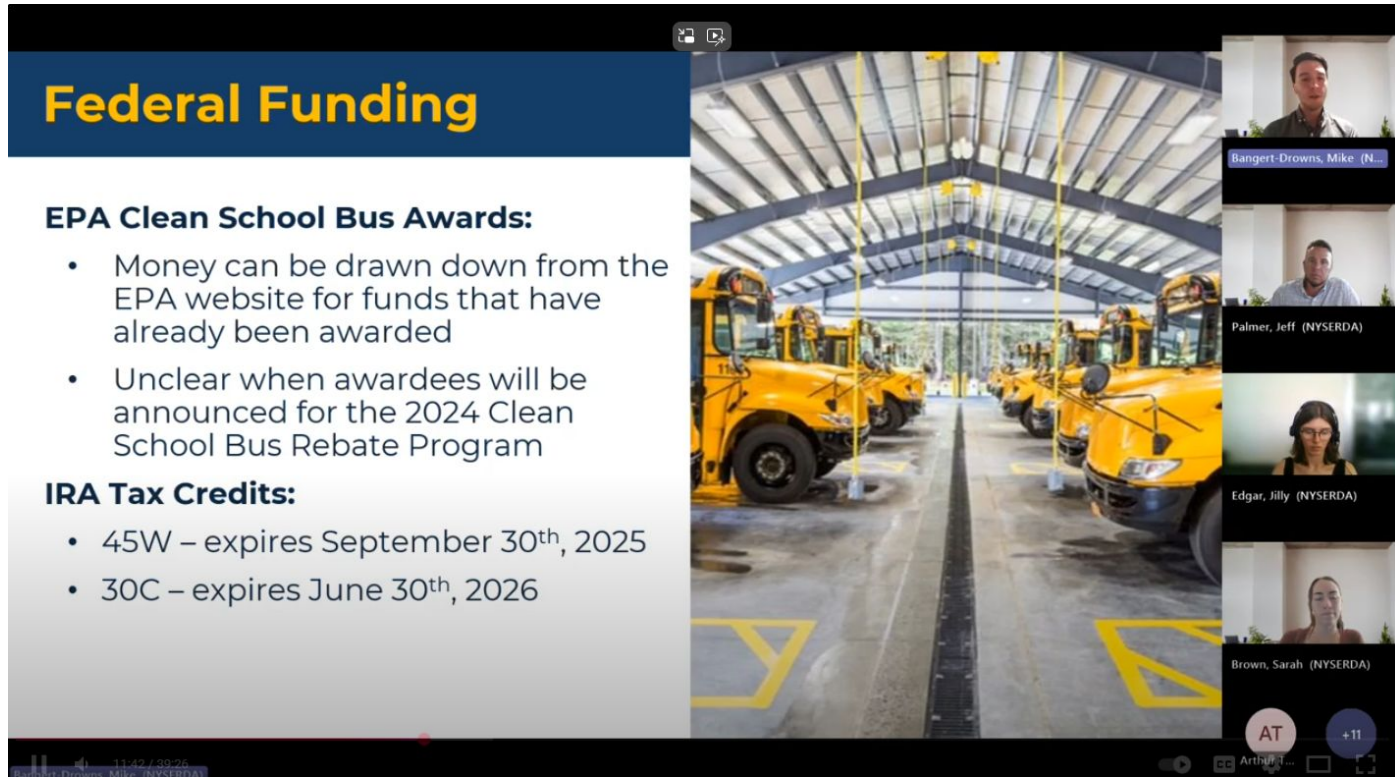
Blue Bird		
Diesel	Gas	LPG
\$148,229.60	\$144,893.60	\$156,013.60
22.00	22.00	22.00

Blue Bird		
Diesel	Gas	LPG
29000	29,000	29,000
10	10	10
59	59	59

An analysis of 3 testimonial accounts of ESB Usage

Source: NYSERDA YouTube Channel ‘Learn from New York School Districts Operating Electric School Buses – September 24th, 2025 | 18 views

According to state districts, CSB funding that has already been awarded will not have funds frozen



Federal Funding

EPA Clean School Bus Awards:

- Money can be drawn down from the EPA website for funds that have already been awarded
- Unclear when awardees will be announced for the 2024 Clean School Bus Rebate Program

IRA Tax Credits:

- 45W – expires September 30th, 2025
- 30C – expires June 30th, 2026

Participants in the video call:

- Bangert-Drowns, Mike (NYSERDA)
- Palmer, Jeff (NYSERDA)
- Edgar, Jilly (NYSERDA)
- Brown, Sarah (NYSERDA)

Video controls: 11:42 / 20:26, Arthur...

**2024 Clean School Bus Rebate Program is a part of Round 4 of funding*

Source: NYSERDA YouTube Channel “FEP Consultant Office Hours” – July 23rd, 2025 | 26 views